

Hon Hai (2317.TW): AI server racks strong volume growth; 4Q OPM sustained 3.3%; Buy (on CL)

4Q25 OPM sustained 3.3%; Net income lower than expected due to GM dilution and higher tax rate. Hon Hai's 4Q25 GM was 5.9%, lower than GSe (6.5%) and Bloomberg consensus (6.1%). We attribute the lower GM to higher contribution of AI rack servers in 4Q25, which comes with high ASP and lower margin ratio; management highlighted that there are already some AI server models dealing with consignment business model in 1Q26, which is positive to GM. Opex ratio declined to 2.6% (vs. 2.9% last Q), better than our estimates and consensus' (both 2.9%). **With better than expected expenses control, 4Q25 OPM sustained 3.3%**, in-line with the company's long-term growth of 3%+. However, tax rate in 4Q increased to 35% (impacted by Global Minimum Tax and profit repatriation of overseas subsidiaries), leading Net income to come in at NT\$45bn (-22% QoQ/ -2% YoY), which is 33%/ 24% lower than GSe and consensus. **We maintain our positive view on Hon Hai**, driven by continuous revenue growth riding on AI servers, smartphones (foldable phones in 2H26) and EV outsourcing. The company's effective margin control through operating efficiency has been consistent. With vertical integration of systems and components, coupled with global production capabilities, we expect Hon Hai to leverage its scale advantages into long-term order and market share sustainability. Maintain Buy (on CL). Read more: [Hon Hai's Longevity & Global Ambition](#).

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Exhibit 1: Hon Hai 4Q25 result snapshot

NT m	4Q24	3Q25	4Q25	QoQ	YoY	GS	Act/GS	Cons.	Act/Cons.
Revenues	2,130,504	2,058,949	2,606,372	27%	22%	2,602,846	0%	2,451,099	6%
GP	131,044	130,757	153,327	17%	17%	169,014	-9%	149,040	3%
OP	64,481	70,536	85,591	21%	33%	94,729	-10%	78,224	9%
Net income	46,326	57,673	45,212	-22%	-2%	67,631	-33%	59,860	-24%
Margins									
GM	6.2%	6.4%	5.9%	-0.5ppt	-0.3ppt	6.5%	-0.6ppt	6.1%	-0.2ppt
OPM	3.0%	3.4%	3.3%	-0.1ppt	0.3ppt	3.6%	-0.4ppt	3.2%	0.1ppt
NM	2.2%	2.8%	1.7%	-1.1ppt	-0.4ppt	2.6%	-0.9ppt	2.4%	-0.7ppt

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

1Q26 revenues outlook: The company expects: **(1) YoY growth in Cloud and Network revenues**, supported by the positive outlook for AI server, general server, networking equipment etc; management highlighted that some of the AI servers are in consignment business model, which lowers revenue growth, accretive to GM, while has no impact to gross profits. **(2) YoY increase in Consumer electronics**, despite tightening memory supply globally, management sees less impact given the end products are in high-end subsegments that are less sensitive to price increase; 1Q also saw new product introduction, which boosts sales. **(3) YoY decline in PCs**, impacted by moderate demand and memory tight supply. **(4) YoY growth in Components.** For QoQ, management expect flat QoQ for Cloud and Networking, while other segments will all show QoQ decline due to seasonality. (Read more in the [announcement](#)).

Key takeaways from earnings call

- **2026E outlook:** Hon Hai expects YoY revenue growth in 2026E, supported by YoY growth in Cloud & Networking as well as Consumer electronics. PC will see YoY decline, per management, and Components & Others will be flat YoY.
- **Solid ramp up of AI servers:** AI server rack shipment will grow **high double digit QoQ** in 1Q26, leading AI server revenues to grow QoQ in 1Q26. Management expect AI server rack shipment to grow multi-fold in 2026 full year, supported by market share gains.
- **Capacity expansions to support growth.** Management guided 2026 capex will grow 30%+ YoY, on an already high base in 2025. Capex will be spent on regional production sites, automation and the increase of core capacities.

Earnings revision: We factor in 4Q25 earnings and management's guidance on 1Q26 and 2026. Our earning estimates for 2026-28E are largely unchanged given our unchanged outlook for Hon Hai's growth driven by AI servers, smartphone form factor changes, and EV outsourcing in the next few years.

Exhibit 2: Earnings revision

NTD m	2025E			2026E			2027E			2028E		
	Old	New	Chg	Old	New	Chg	Old	New	Chg	Old	New	Chg
Revenues	8,099,579	8,103,105	0%	11,125,743	11,081,080	0%	13,706,808	13,741,966	0%	15,502,147	15,531,099	0%
GP	513,848	498,161	-3%	636,978	639,799	0%	729,425	729,715	0%	810,220	809,180	0%
OP	268,361	259,223	-3%	348,207	351,733	1%	412,427	408,182	-1%	460,491	458,798	0%
Net income	211,772	189,354	-11%	269,634	269,087	0%	318,643	318,004	0%	354,983	354,251	0%
EPS (diluted, NT\$)	14.97	13.43	-10%	19.06	19.06	0%	22.52	22.52	0%	25.09	25.09	0%
Margins												
GM	6.3%	6.1%		5.7%	5.8%		5.3%	5.3%		5.2%	5.2%	
OPM	3.3%	3.2%		3.1%	3.2%		3.0%	3.0%		3.0%	3.0%	
NM	2.6%	2.3%		2.4%	2.4%		2.3%	2.3%		2.3%	2.3%	

Source: Company data, Goldman Sachs Global Investment Research

Valuation: With largely unchanged 2026-28E earnings, we keep our 12m TP of **Hon Hai**

at NT\$400, still based on 21x 2026E P/E. Our target P/E multiple is derived from peers' average ratio of trading P/E to forward year NI YoY growth and OPM (P/E divided by the sum of NI YoY and OPM, [Exhibit 3](#)). Our target P/E of 21x is above the high end of Hon Hai's historical trading range (high end at 20x), reflecting our positive view on Hon Hai's business expansion from the competitive consumer electronics market to AI servers and EVs outsourcing, which should drive the company's profit expansion with diversifying business opportunities. **Maintain Buy (on CL).**

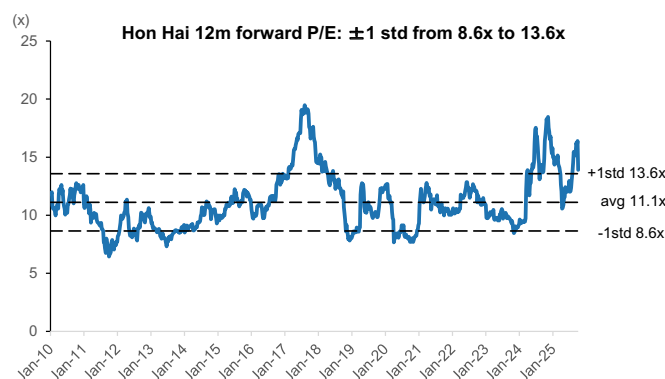
Exhibit 3: Hon Hai historical trading PE vs. EPS YoY and OPM trend

	2010	2011	2012	2013	2014	2015	2016	2017
Avg. P/E	11.6	8.8	9.4	8.5	9.7	11.1	11.4	16.4
Max P/E	12.8	11.6	11.3	9.4	11.2	12.2	13.6	19.5
EPS YoY growth		6%	16%	13%	22%	13%	1%	-7%
OPM	2.9%	2.4%	2.8%	2.8%	3.4%	3.7%	4.0%	2.4%
	2018	2019	2020	2021	2022	2023	2024	2025*
Avg. P/E	12.2	10.5	9.0	11.0	11.4	9.7	14.0	13.5
Max P/E	15.2	12.8	12.7	12.8	12.8	10.5	18.5	16.4
EPS YoY growth	-7%	-11%	-12%	37%	2%	0%	7%	12%
OPM	2.6%	2.2%	2.1%	2.5%	2.6%	2.7%	2.9%	2.7%

2025*: YTD P/E; EPS YoY and OPM are GSe

Source: Company data, Bloomberg

Exhibit 4: Hon Hai 12M forward PE ratio



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: Hon Hai P&L summary

Hon Hai (2317.TW)	2022	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
NTD bn															
P&L															
Revenue	6,627	6,162	6,860	8,103	11,081	13,742	15,531	1,644	1,793	2,059	2,606	2,155	2,340	2,958	3,628
COGS	(6,227)	(5,774)	(6,431)	(7,605)	(10,441)	(13,012)	(14,722)	(1,544)	(1,680)	(1,928)	(2,453)	(2,025)	(2,204)	(2,791)	(3,421)
Gross profit	400	388	429	498	640	730	809	101	114	131	153	129	136	168	207
Operating expense	(226)	(221)	(228)	(239)	(288)	(322)	(350)	(54)	(57)	(60)	(68)	(59)	(69)	(72)	(88)
EBITDA	250	251	288	347	453	530	582	70	80	95	102	95	93	121	144
D&A	(76)	(84)	(88)	(88)	(101)	(121)	(123)	(24)	(23)	(25)	(16)	(25)	(25)	(25)	(25)
EBIT	174	167	201	259	352	408	459	46	57	71	86	70	68	96	118
Net interest income/(expense)	9	16	9	4	3	17	12	1	(1)	(3)	7	1	1	1	1
Disposal of assets (pre-tax)	4	15	2	7	0	0	0	0	1	6	0	0	0	0	0
Others	1	(5)	1	23	24	20	20	12	9	13	(10)	6	6	6	6
Pretax profit	188	192	212	293	378	445	491	59	65	87	82	77	74	102	125
Income tax	(36)	(37)	(40)	(78)	(76)	(93)	(103)	(13)	(16)	(21)	(29)	(15)	(15)	(20)	(25)
Minorities	(10)	(13)	(19)	(26)	(34)	(34)	(34)	(4)	(5)	(8)	(8)	(8)	(8)	(8)	(8)
Net income	141	142	153	189	269	318	354	42	44	58	45	53	51	74	92
EPS (NTD)	10.04	10.07	10.79	13.43	19.06	22.52	25.09	2.98	3.16	4.08	3.20	3.74	3.61	5.21	6.50
DPS (NTD)	5.22	5.31	5.70	7.15	10.14	11.99	13.35								
Dividend payout ratio	52%	53%	53%	53%	53%	53%	53%								
YoY% growth & margins															
Revenue growth	11%	-7%	11%	18%	37%	24%	13%	24%	16%	11%	22%	31%	30%	44%	39%
EBITDA growth	11%	0%	15%	20%	31%	17%	10%	23%	25%	25%	12%	36%	16%	27%	42%
EBIT growth	17%	-4%	20%	29%	36%	16%	12%	27%	27%	29%	33%	50%	19%	36%	38%
Net income growth	2%	0%	7%	24%	42%	18%	11%	91%	27%	17%	-2%	25%	15%	27%	103%
EPS growth	1%	0%	7%	24%	42%	18%	11%	90%	26%	16%	0%	25%	14%	27%	103%
Gross margin	6.0%	6.3%	6.3%	6.1%	5.8%	5.3%	5.2%	6.1%	6.3%	6.4%	5.9%	6.0%	5.8%	5.7%	5.7%
EBITDA margin	3.8%	4.1%	4.2%	4.3%	4.1%	3.9%	3.7%	4.3%	4.5%	4.6%	3.9%	4.4%	4.0%	4.1%	4.0%
EBIT margin	2.6%	2.7%	2.9%	3.2%	3.2%	3.0%	3.0%	2.8%	3.2%	3.4%	3.3%	3.2%	2.9%	3.2%	3.3%

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology – Hon Hai

Valuation methodology: We are Buy rated on Hon Hai. Our 12-month target price of **NT\$400** is based on a **21.0x 2026E P/E** multiple, which is set in line with peers' PEG&M ratio (i.e. P/E vs. forward year earnings growth and OPM).

Key risks: (1) Slower-than-expected ramp-up of AI servers business; (2) weaker-than-expected EV total solution performance across EV assembly, design, software and semis; (3) slower-than-expected ramp-up of capacity globally; and (4) fiercer-than-expected competition in consumer electronics EMS business.

2317.TW	12m Price Target: NT\$400.00	Price: NT\$216.50	Upside: 84.8%
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Buy **CL**

GS Forecast

Market cap: NT\$3.1tr / \$95.6bn
Enterprise value:
NT\$2.9tr / \$90.0bn
3m ADTV: NT\$13.1bn / \$416.7mn
Taiwan
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: No
APAC Conviction List

Revenue (NT\$ mn) New	12/25	12/26E	12/27E	12/28E
	8,103,104.8	11,081,080.3	13,741,966.0	15,531,099.1
Revenue (NT\$ mn) Old	8,099,579.1	11,125,742.8	13,706,807.6	15,502,147.3
EBITDA (NT\$ mn)	347,220.9	453,193.9	529,570.9	582,050.2
EPS (NT\$) New	13.41	19.06	22.52	25.09
EPS (NT\$) Old	14.97	19.06	22.52	25.09
P/E (X)	13.9	11.4	9.6	8.6
P/B (X)	1.5	1.6	1.5	1.4
Dividend yield (%)	3.8	4.7	5.5	6.2
CROCI (%)	14.0	16.4	17.4	17.5
	12/25	3/26E	6/26E	9/26E
EPS (NT\$)	3.20	3.74	3.61	5.21

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 16 Mar 2026 close.

Disclosure Appendix

Reg AC

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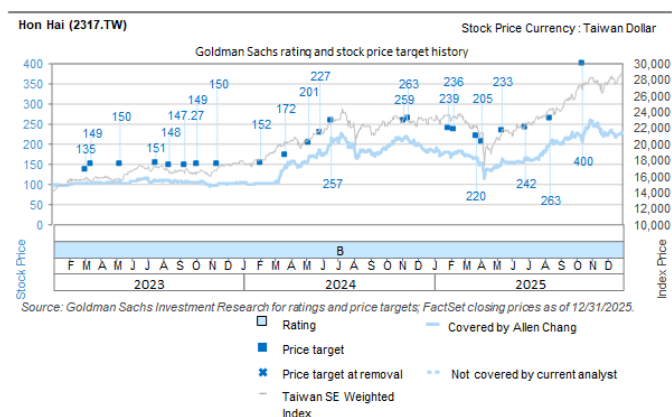
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